

**SYNTHETIC TRAINING RECORD — FICTIONAL PARTIES, PEOPLE,
PLACES, IDENTIFIERS, AND EVENTS — NOT A REAL FILING**

Master Logistics Services Agreement

Executed and effective November 1, 2023. Attached to Blue Ember’s complaint filed December 2, 2024 in Civil Action No. SYN-WDNC-24-CV-0520.

This agreement is between Blue Ember Biologics, LLC, headquartered at 1847 Cinder Ridge Parkway, Asheville, North Carolina, and Granite Heron Logistics, Inc., a Georgia corporation operating a specialized facility at 802 Granite Heron Way, Fletcher, North Carolina. Blue Ember develops temperature-sensitive biological materials. Granite Heron provides controlled transportation and related custody services.

The parties intend this writing to supply general commercial terms for later work orders. A signed statement of work identifies a program; a purchase order authorizes a charge; a quality agreement states regulated handling controls; a release specification defines product limits; and a rate confirmation states route details. No single later instrument should be read in isolation when the documents concern the same shipment.

Each signer represents that the signer may bind the identified company. The agreement does not create a partnership, employment relationship, fiduciary status, or authority to make scientific release decisions for the other company. Granite Heron remains an independent contractor responsible for the means of transportation while complying with the accepted specifications.

1. Defined terms

“Authorized contact” means a person listed in the applicable statement of work or quality agreement to receive routine or urgent communications. “Controlled material” means a payload accepted under a shipment record that contains a stated environmental limit. “Custody” begins when Granite Heron signs the origin handoff and ends when the destination representative signs receipt, unless a written rejection records an earlier refusal of tender.

“Excursion” means a measured environmental condition outside the applicable release specification for longer than any expressly allowed tolerance. Silence about a tolerance does not create one. “Logger” means the designated calibrated monitoring device traveling with or within the payload. “Loss event” includes physical damage, temperature deviation, unexplained custody gap, misdelivery, or loss of required records that materially affects intended use.

“Reasonable mitigation” means commercially reasonable action after an asserted breach, evaluated using information available when a decision was required, expected benefit, incremental cost, technical feasibility, quality obligations, and material risk. It does not require unsafe release, unlawful conduct, or acceptance of a facially incapable substitute.

“Shipment documents” collectively means this agreement and the executed program- and route-specific writings. Headings aid navigation but do not narrow operative language. Singular terms include the plural when context requires, and a reference to days means calendar days unless a business-day rule is expressly stated.

2. Orders and acceptance

Blue Ember may request service through a statement of work and purchase order identifying origin, destination, requested date, material, handling band, and declared value. Granite Heron accepts a shipment by countersigning the statement of work, issuing a rate confirmation, beginning performance, or otherwise confirming acceptance in writing. An estimate alone does not reserve equipment or capacity.

Before acceptance, Granite Heron shall review the route, equipment, temperature band, monitoring method, staging plan, and escalation contacts. It shall promptly disclose a known inability to satisfy a material requirement. Blue Ember shall provide accurate product-handling information reasonably necessary for carriage and shall not tender prohibited or undisclosed hazardous material.

A rate confirmation may refine pickup time, equipment assignment, line-haul charge, accessorial service, and delivery window. It may not reduce an accepted quality control, change a release limit, or disclaim liability for a loss event unless the document identifies the changed term conspicuously and both parties sign it.

Changes requested after acceptance require a written operational confirmation. Emergency instructions may be given orally to protect a payload, but the receiving person shall record the time, speaker, substance, and resulting action. A party's decision to protect material during an emergency does not waive a claim or concede which party caused the condition.

3. Custody and standard of performance

Granite Heron shall take custody only after inspecting the exterior shipper, verifying identifiers against the handoff record, and confirming that assigned equipment is operating at the stated setpoint. It shall note any visible discrepancy before departure. A clean exterior receipt is evidence of apparent condition but does not independently establish the internal scientific status of a sealed payload.

During custody, Granite Heron shall exercise the care of a specialized controlled-temperature carrier familiar with biological development materials. It shall preserve package orientation, security seals, environmental settings, and continuous accountability. Subcontracting requires prior approval when the statement of work so provides; any approved subcontractor remains subject to the same handling duties.

Temporary staging remains part of transportation. Moving a trailer into a yard, shutting down a tractor, switching electrical supply, refueling, waiting for dispatch, or holding for delivery does not suspend the agreed temperature range. Granite Heron shall plan transitions so refrigeration remains continuous and shall maintain a documented backup response appropriate to the material and expected duration.

Custody ends upon signed delivery, but record-preservation, confidentiality, investigation, and claim duties survive. A consignee's signature acknowledges physical receipt, not conformity, release, waiver of a concealed condition, or agreement with a logger interpretation that could not reasonably be completed at the dock.

4. Temperature control and setpoint

The applicable statement of work and release specification establish the required environmental range. Granite Heron shall precondition equipment, maintain the selected setpoint, and avoid practices reasonably likely to cause an out-of-band condition. A setpoint is an operating target; it does not replace the minimum and maximum limits by which conformity is assessed.

Where the instruction calls for frozen carriage, the carrier shall verify adequate fuel or electrical supply before each planned stop. A power-source transition requires confirmation that refrigeration remains active. If a connector, outlet, control setting, or standby source fails, personnel shall restore cooling, place the load in qualified backup storage when feasible, and begin escalation without awaiting visible payload damage.

Temperature is assessed from the designated logger and other admissible equipment records. A brief display fluctuation does not necessarily establish product exposure, while a validated logger interval cannot be disregarded merely because the trailer later recovered. Product disposition belongs to Blue Ember's quality unit after review of duration, magnitude, stability information, and intended use.

Granite Heron does not guarantee regulatory approval or scientific success. It does promise performance of the transport controls it accepts. Blue Ember does not guarantee that every deviation will require rejection. The parties preserve their respective positions concerning causation and damages after a documented event.

5. Monitoring, alerts, and escalation

Granite Heron shall verify the logger identifier at pickup and shall not disable, replace, or alter the designated device without written authorization or a documented emergency. If remote telemetry is available, the carrier shall assign the correct shipment profile and active response queue. Local alarms shall be treated as operative even when remote transmission is delayed.

Upon receiving credible notice of a possible excursion, the driver or dispatcher shall record the first alert time, current reading, equipment condition, location, and immediate protective steps. The carrier shall contact the primary quality number listed for the program. If no response occurs within ten minutes, it shall use the alternate contact and continue reasonable product-protection measures.

An alarm response may include restoring power, moving to backup equipment, limiting door access, consulting the origin, returning the load, or proceeding to a nearby qualified destination. The choice must account for product safety and the likely time to recover. Continued delivery without consultation is appropriate only when the written protocol allows it or urgent protection reasonably requires it.

After recovery, Granite Heron shall preserve raw readings and refrain from smoothing, averaging, or deleting data. A narrative summary may accompany the raw output but shall distinguish measured facts from inference. The parties may later disagree about scientific effect without disputing the integrity of the underlying time series.

6. Document hierarchy and quality controls

This master agreement controls ordinary commercial matters unless a signed later instrument expressly changes them. The quality agreement controls training, deviation, audit, data-integrity, and product-handling procedures. A release specification controls the permitted environmental band and disposition criteria. A statement of work controls the identified program and service scope. A rate confirmation controls route and price details consistent with those superior instruments.

When two provisions cannot reasonably operate together, the more specific quality or shipment requirement prevails for handling, while the specifically negotiated commercial term prevails for price and declared value. A purchase-order boilerplate term does not silently displace a signed bilateral clause. The parties shall first attempt a reading that gives effect to every writing.

Blue Ember is responsible for final quality disposition, including quarantine, release, rework, or destruction. Granite Heron shall supply records and technical cooperation but shall not direct release of biological material. Blue Ember's disposition decision must be made in good faith under the accepted protocol and available stability information.

No deviation approval is implied from prior shipments. A written tolerance granted for one lot applies only to that lot unless the document states a broader amendment. Course of performance may explain an ambiguous operational term but may not erase an unambiguous temperature limit or a signed damages provision.

7. Personnel, equipment, and subcontractors

Granite Heron shall assign personnel trained for the shipment's service level. Training must cover refrigeration controls, power transitions, alarm recognition, custody entries, escalation, security, and preservation of device data. Supervisors shall make current instructions available to drivers and dispatchers before pickup.

Assigned equipment must be suitable for the specified temperature, maintained under a written preventive program, and free of a known condition likely to interrupt service. Calibration records for sensors used to make operational decisions shall be traceable and available upon reasonable request. Qualification does not eliminate the need for a pretrip functional check.

Granite Heron may use an approved yard or support vendor without relinquishing responsibility for custody. It shall identify any person who receives physical control, opens the trailer, changes power, or transfers the payload. If equipment must be substituted, the replacement must provide equal or better environmental capability and the substitution must be recorded.

Blue Ember shall ensure that origin personnel use the packaging configuration stated in the shipment plan and that destination personnel are prepared to receive within the delivery window. Granite Heron is not responsible for a delay caused solely by an unavailable consignee after timely arrival, provided it protects the load and promptly seeks instructions. Each party shall keep its emergency contacts current.

8. Records, audit, and data integrity

For each controlled shipment, Granite Heron shall retain the signed custody form, rate confirmation, route and stop history, equipment assignment, refrigeration record, logger handoff, alarm acknowledgments, communications, corrective actions, and delivery receipt. Records must be legible, dated, attributable to the person making the entry, and preserved for seven years unless a longer period is specified.

Electronic source data shall be maintained in its ordinary exported form with an available checksum or equivalent integrity control. A converted report may be used for review, but conversion must not replace the source file. Manual corrections require the original entry to remain readable, together with the correcting person, date, and reason.

Blue Ember may audit relevant quality systems on reasonable notice. After a loss event, it may request a focused audit without waiting for the ordinary annual window. Audit access does not extend to unrelated customer confidential information, privileged legal advice, or security details unnecessary to evaluate performance.

Neither party shall destroy material information after notice of a claim or reasonably anticipated dispute. If a record is unavailable, the responsible party shall identify what is missing, why, and what substitute evidence exists. Missing data may affect evidentiary weight but do not create an automatic contractual presumption beyond governing law.

9. Deviation notice and investigation

Granite Heron shall provide immediate oral notice of a material excursion and a written preliminary report within one business day. The report shall state confirmed times, location, equipment status, observed readings, personnel involved, action taken, and remaining uncertainty. A final investigation ordinarily follows within ten business days, unless laboratory review or third-party data reasonably require more time.

Blue Ember shall promptly quarantine affected material and communicate any additional protection instruction. Its quality unit will assess the event against the release specification and intended use. Blue Ember shall provide Granite Heron a disposition summary sufficient to understand the decision, subject to protection of proprietary scientific detail.

The investigation should identify root cause and corrective action without delaying urgent product protection. Participation, factual disclosure, or a corrective step is not an admission of legal liability. Conversely, labeling a cause “human error” does not excuse the company responsible for the system in which the error occurred.

The parties will preserve samples, packaging, logger output, and equipment records when reasonably useful. Destructive testing requires notice when practicable. A party may act without advance agreement if safety, stability, or storage constraints demand prompt action, but it shall document why and preserve representative evidence where feasible.

10. Charges, declared value, and insurance

Service charges are stated in the accepted purchase order and rate confirmation. Granite Heron may invoice after delivery, with supporting accessorial records. Blue Ember shall pay undisputed sums within thirty days and identify any disputed item with reasonable specificity. A good-faith claim does not permit withholding unrelated invoices.

A statement of work may designate enhanced declared-value protection for an identified shipment. When selected and priced, that amount replaces any default per-pound cargo ceiling for direct loss to the payload. The declared value does not itself prove that the entire amount was lost, authorize duplicate recovery, or expand liability to an excluded category.

Granite Heron shall maintain commercial automobile, cargo, and general-liability insurance appropriate to its service. Insurance does not enlarge or reduce contractual responsibility. Either party shall disclose a payment or credit that compensates the same loss so the claimant does not recover twice.

Taxes, fuel adjustments, waiting time, and emergency handling charges must be supported by the operative order. Costs reasonably incurred to protect material after a carrier-caused event may be claimed as direct mitigation expense, subject to proof. Costs that would have been incurred in the ordinary program remain Blue Ember's responsibility unless a shipment document allocates them differently.

11. Responsibility for proven loss

Each party is responsible for direct loss caused by its material breach, negligence in performing an express duty, or willful misconduct, subject to the limitations in this agreement. A claimant must establish breach, causation, and recoverable amount by the governing burden of proof. Evidence of an excursion establishes a deviation but does not conclusively resolve every disputed consequence.

Granite Heron is not responsible for a loss caused solely by latent product instability, inadequate packaging supplied by Blue Ember, inaccurate instructions, an inherent vice, or an event beyond reasonable control that could not have been prevented through the agreed contingency measures. The carrier remains responsible to the extent its own failure is a concurrent cause under governing law.

Blue Ember retains scientific release authority and must exercise it reasonably and in good faith. A documented specification failure may support rejection even when an assay does not show total inactivity, particularly where the shipment's intended use requires verified compliance. Granite Heron may challenge whether a particular disposition and cost were causally reasonable.

Neither company assumes the other's regulatory duties. The allocation of decision authority does not turn Blue Ember's independent quality judgment into a superseding cause automatically, nor does carrier custody make Granite Heron an insurer of unrelated program outcomes.

12. Damages, foreseeability, and mitigation

Recoverable damages must be established with reasonable certainty and must result from the proven breach. Direct payload value, reasonable replacement expense, and foreseeable schedule consequences may be recoverable when supported by the shipment documents and evidence. Punitive, exemplary, and duplicative damages are excluded except where a nonwaivable law requires otherwise.

Neither party may recover remote loss based on indefinite approval, speculative market adoption, or an unsupported future revenue stream. A time-related claim is not automatically excluded merely because it uses a forecast; its duration, assumptions, contemporaneous support, and relationship to the shipment must be evaluated.

The injured party shall take reasonable measures to reduce loss. It need not accept a substitute that creates disproportionate safety, regulatory, technical, or financial risk. In evaluating an available alternative, the factfinder shall consider the information then known, response deadline, capability, probability of success, incremental expense, and loss likely avoided.

Any mitigation deduction is net rather than gross. Proven costs reasonably necessary to obtain the alternative reduce the amount otherwise avoidable. The party asserting failure to mitigate bears the burden assigned by governing law. A declined opportunity does not shift the burden merely because it was offered in writing.

13. Term, termination, notices, and dispute process

The initial term is three years and renews annually unless either party gives ninety days' notice. A material breach may support termination after written notice and a thirty-day opportunity to cure, except an incurable breach or urgent quality risk permits immediate suspension of new shipments. Termination does not cancel accepted work without a written transition plan.

Formal notices shall be delivered to the corporate addresses stated on the first page and copied to the operational contacts in the current statement of work. Urgent excursion notice follows the faster quality-agreement procedure. Email is effective for operational notice when receipt is reasonably confirmed; claim and termination notices also require trackable delivery.

Senior business representatives shall meet in good faith before either party files a contract action, unless limitations, preservation, or emergency relief requires prompt filing. The agreement does not require arbitration. The parties consent to state or federal courts with proper jurisdiction in North Carolina and waive objections inconsistent with the agreed venue.

North Carolina law governs without applying a choice rule that would select another jurisdiction. If a provision is unenforceable, it shall be narrowed when lawful without invalidating the remainder. Waiver must be written and applies only to the identified circumstance. Rights and obligations concerning payment, records, confidentiality, claims, and disputes survive termination.

14. Entire agreement, amendments, and signatures

This writing and shipment documents accepted under it constitute the agreement concerning their subject. They replace prior proposals on the same matter but do not erase a later signed quality or service term. An amendment must identify the provision changed and be signed by authorized representatives of both parties. An operational email may implement an existing requirement without becoming a general amendment.

Counterparts and verified electronic signatures are effective. Neither party drafted every provision; ambiguity shall not be resolved automatically against one drafter. Each party had an opportunity to consult counsel and technical personnel before execution.

For Blue Ember Biologics, LLC, Dr. Mira Solis signs as Chief Operating Officer and confirms authority to bind Blue Ember. For Granite Heron Logistics, Inc., Adrian Locke signs as Vice President for Controlled Transportation and confirms corresponding authority. Their signatures make the agreement effective November 1, 2023.

Blue Ember Biologics, LLC

By: Dr. Mira Solis, Chief Operating Officer

Date: November 1, 2023

Granite Heron Logistics, Inc.

By: Adrian Locke, Vice President, Controlled Transportation

Date: November 1, 2023

The attached litigation copy was submitted with the complaint on December 2, 2024. That filing date does not alter the agreement's execution or effective date.